

tion of anonymity.

The closest parallel to their efforts is the ATM. But the ATM interchange charge has increased from ₹15 in August 2012 to ₹17 in January 2022. That is not the case with micro-ATMs or the Aadhaar Enabled Payment System (AePS). ATM interchange fees are paid by a customer's bank to the bank whose ATM is used by the customer.

"There is a case for increasing the interchange for micro-ATM and AePS transactions, as it has not been raised in the last decade despite inflationary pressures and higher costs of operation. This lack of parity impacts the overall quality of services," says Amit Kumar Jain, Whole-time Director and COO of Fino Paytech Limited, a technology solutions provider.

Some banks are now on the BC platform for lead generation. "What we often fail to realise is that a branch serves an existing customer base of, say, 5,000. While the bank headquarters expects the BC to fill in the details, the branches are instructing [BCs] to handle all the work. They heavily rely on this free resource, making them responsible for collecting documentation, verifying property, and more; all this results in a mere 0.1 per cent commission. So, for a loan of ₹1 lakh, the commission is only ₹100. How can this cover the cost of fuel?" questions a Mumbai-based BC. One solution, Prem suggests, is to extend the co-lending facility that is currently offered only to NBFCs, to systemically important BCs. Co-lending is the process by which two or more lenders give out money to an individual.

There is another anomaly. Though BCs are allowed to serve multiple banks, they cannot choose the products offered (savings bank account openings or gold loans). "We don't have the discretion to choose the products to provide. The decision lies entirely with the bank," says Fino's Jain.

Currently, regulations specify that the last-mile player is permitted to represent only one bank for a specific product or service. However, customers prefer a single point for accessing all banking services. "The basic tenets of the BC model have stayed the same as they were at the time of introduction, around 2006," complains another BC.

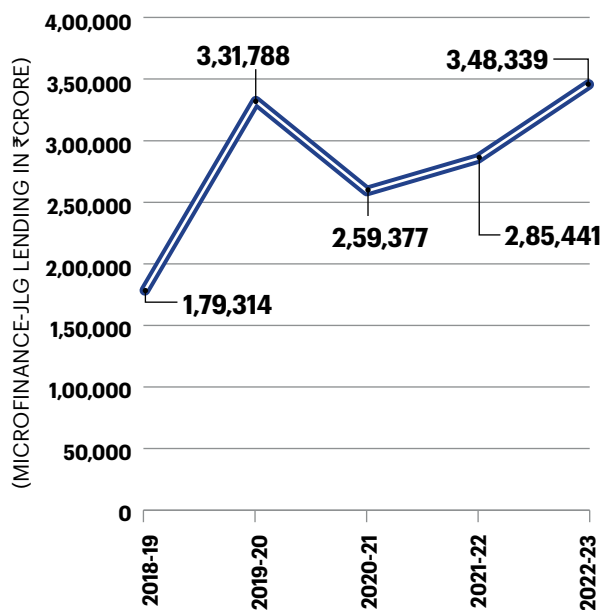
"There is a difference between rural and urban outreach. We as MFIs could achieve more in terms of credit penetration if there is a relaxation of qualifying norms," says H.P. Singh, CMD of microfinance firm Satin Creditcare Network Ltd.

THE SHG MODEL

One of the big innovations in the financial services realm has been the concept of self-help groups, where

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10–20 individuals, especially women, open bank accounts in the name of the SHG. There is a lending facility that is four to five times the size of the group's pool of savings. Currently, there are more than 13.4 million SHGs with savings of ₹58,892 crore and loan outstanding of ₹1.88 lakh crore (See chart "The SHG Model"). They are quite popular in the South, finding mention in many south Indian movies. The southern states have a 50 per cent share in savings and a whopping 70 per cent share in loan outstanding amongst all SHGs.

But it is critical for these SHGs to transition gradually into micro-enterprises, says Shaji K.V., Chairman of Nabard. "In the third or fourth cycle of loan repayment, SHGs as a whole should either evolve into micro-enterprises or some members, jointly or severally, should establish their own micro-enterprises," he says.

Of course, in an ideal scenario, individual members would set up their own ventures, but Nabard is initial-